

THE SESSION • POST-CLOSE READ

Payrolls Slip, *Equities Climb*

July payrolls contracted by 23,000 against consensus for a gain, and the tape treated the miss as relief from near-term rate pressure. Both FCI sleeves finished ahead of benchmark.

S&P 500 ▲ 0.59%

NASDAQ ▲ 1.28%

DOW ▲ 0.28%

VIX 14.89

BRENT ▲ \$83

DIVIDEND STRATEGY

▲ BEAT DVY + SPY

+0.61%

1-DAY

FCI		+0.61%
DVY		+0.52%
SPY		+0.59%

YTD +22.57% vs DVY +16.51% · SPY +13.98%

GROWTH PORTFOLIO

▲ BEAT IUSG

+1.85%

1-DAY

FCI		+1.85%
IUSG		+0.71%

YTD +20.43% vs IUSG +15.90%

THE SESSION

The July employment report landed well below expectations, and the equity market read the miss as relief rather than warning. Nonfarm payrolls contracted by 23,000 against consensus for a gain near 80,000, and revisions subtracted a further 103,000 from the prior two months. The unemployment rate eased to 4.1% as labor force participation slipped again. Because this year's debate inside the Federal Reserve has centered on whether to tighten further rather than to ease — three FOMC members dissented in favor of a hike at the July meeting — a softer labor print took pressure off the September decision. Odds of an increase next month fell to roughly 44% on CME's FedWatch measure. The two-year Treasury yield gave back more than four basis points to about 4.20%, the ten-year settled near 4.65%, and equities finished broadly higher: the S&P 500 added 0.59%, the Nasdaq Composite 1.28%, and the Dow 0.28%.

The composition of the advance mattered more to our holdings than the index totals did. Semiconductors led once more, capping a week in which the group recovered a meaningful share of July's give-back, and long-duration software joined as yields eased. Gold moved higher on the same rate arithmetic and carried the mining complex with it. Energy sat among the softer corners of the tape even with Brent holding above \$83, as markets continued to work through the terms of a proposed Iran–Oman arrangement governing transit through the Strait of Hormuz. Both sleeves finished ahead of benchmark: Dividend Strategy at +0.61% against DVY's +0.52% and SPY's +0.59%, and Growth Portfolio at +1.85% against IUSG's +0.71%.

A single month's payroll number is data, not a verdict. We own businesses whose earnings power outlives any one print.

Constellation Energy offered the cleanest illustration of a pattern that ran through the week. The market marked the shares lower on Thursday's release; by Friday, with raised full-year guidance and 920 megawatts of newly contracted nuclear generation at the front of the analyst commentary, the stock recovered 3.37%. On the other side of the ledger, MARA and Hut 8 stayed under pressure as compressed

mining economics and non-cash bitcoin markdowns worked through reported results. Bitcoin itself held near \$64,900, higher by roughly 1% on the session, and both digital asset ETFs closed green — IBIT at +0.85% and ETHA at +0.49%. Year to date, Dividend Strategy stands at +22.57% and Growth Portfolio at +20.43%, each ahead of its benchmark by a comfortable margin.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

CRDO +8.45%

GROWTH

Extended the week's AI-interconnect leadership; the company showcased memory and storage products at the Flash Memory Summit.

AEM +6.49%

GROWTH

Gold advanced as the payroll miss pushed September rate-hike odds lower; the miners carry the operating leverage.

NOW +6.42%

GROWTH

Long-duration software re-rated as Treasury yields eased, continuing the rebound that followed raised full-year subscription guidance.

DECLINERS

MARA -5.26%

GROWTH

Second-quarter loss of \$611.3 million, driven largely by fair-value markdowns on the bitcoin treasury; Cantor Fitzgerald trimmed its price target.

NTR -3.51%

DIVIDEND

Adjusted earnings of \$2.61 per share came in under consensus as nitrogen and potash sales volumes eased.

QCOM +4.66%

DIVIDEND

Rode a semiconductor complex that recovered a meaningful share of July's give-back across the week.

MRVL +3.89%

GROWTH

Held its place among the week's interconnect and memory leaders on continued AI infrastructure demand.

CEG +3.37%

DIVIDEND

Follow-through on raised full-year guidance and 920 megawatts of newly contracted nuclear generation.

HUT -2.27%

GROWTH

Mining economics stayed tight across the listed miners even with bitcoin back above \$64,000.

OKE -1.72%

GROWTH

Midstream eased as energy finished among the softer corners of an otherwise constructive tape.

CVX -1.41%

GROWTH

Gave back ground with the energy sector despite Brent holding above \$83 on Strait of Hormuz headlines.

HOLDINGS NEWS

Constellation Energy raised its full-year outlook. Constellation lifted 2026 adjusted EPS guidance to \$11.50–\$12.50 from \$11.00–\$12.00, disclosed roughly 920 megawatts of long-term nuclear power purchase agreements averaging 18.5 years — including Walmart's first nuclear PPA, at about 176 megawatts from the Dresden Clean Energy Center — and agreed to divest the Brazos Valley Energy Center to LS Power for \$860 million. The Crane restart remains on track for the second half of 2027.

Nutrien came in under consensus. Second-quarter adjusted earnings of \$2.61 per share fell short of the roughly \$2.71 estimate as nitrogen sales volumes declined to 2.25 million tonnes from 3.02 million a

year earlier and potash volumes edged lower. Management raised full-year potash sales guidance and pointed to a constructive price outlook into 2027. Shares finished –3.51%.

MARA reported a wider quarterly loss. Revenue of \$174.9 million fell 27% year over year and the net loss widened to \$611.3 million, driven chiefly by fair-value markdowns on a bitcoin position that ended the quarter at 35,577 coins rather than by operating deterioration; production actually rose 3% to 2,422 BTC. Cantor Fitzgerald trimmed its price target and the shares closed –5.26%.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+22.57%

vs DVY +16.51% / SPY +13.98%

GROWTH PORTFOLIO

+20.43%

vs IUSG +15.90%